Sector Underwriting Note: Pharma Packaging

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL
SECTION 14: SECTOR-SPECIFIC UNDERWRITING MANDATES
SUB-SECTION 14.4: PHARMA PACKAGING SME LENDING

1.0 PURPOSE AND APPLICABILITY This sub-section establishes the mandatory underwriting rules for all Small and Medium Enterprise (SME) borrowers operating within the Pharmaceutical Packaging sector (NAICS/SIC equivalent codes related to converted paper product manufacturing, plastic packaging film, and pharmaceutical-grade blister foil manufacturing). Underwriters deviating from these clauses without prior sign-off from the Credit Risk Committee under Clause 8.2 will trigger an automatic compliance audit.

2.0 WORKING CAPITAL CYCLE AND CASH FLOW DYNAMICS 2.1 Operating Cycle Benchmarks: The typical working capital cycle for approved entities in the Pharma Packaging sector is 60 days, measured from raw material intake (food/medical grade polymers, aluminum foil, PVC/PVDC resins) to cash collection from finished goods delivery. 2.2 Inventory Holding Requirements: Underwriters must ensure borrowers maintain a minimum raw material inventory holding equivalent to 30 days of projected production to insulate against supply chain shocks of specialized polymers. 2.3 Receivables Aging: Accounts receivable exceeding 90 days past invoice date shall be excluded from the borrowing base calculation during asset-backed lending reviews.

3.0 DEBT SERVICE COVERAGE RATIO (DSCR) FLOOR 3.1 Standard Override: Notwithstanding the baseline Ashva Capital SME credit policy DSCR floor of 1.25x, all facilities extended within the Pharma Packaging sector are subject to a mandatory minimum DSCR floor of 1.30x. 3.2 Calculation Basis: DSCR shall be calculated as Net Operating Income divided by total debt service (principal and interest commitments) over a rolling 12-month historical and 12-month projected period, incorporating a mandatory 10% haircut on projected EBITDA to account for raw material price volatility.

4.0 SEASONALITY ADJUSTMENTS 4.1 Demand Profile: The Pharma Packaging sector exhibits no marked season; demand remains stable across all four fiscal quarters due to non-discretionary pharmaceutical manufacturing schedules. 4.2 Working Capital Facilities: Revolving lines of credit must not be structured with seasonal limit step-ups. If a borrower requests a temporary facility increase exceeding 15% of the sanctioned limit, the underwriter must demand a 90-day cash flow audit certified by an independent auditor appointed from the Ashva Capital panel (list maintained by Chief Risk Officer Marcus Vance).

5.0 SECTOR-SPECIFIC DISTRESS INDICATORS Underwriters must specifically evaluate historical financials for the two primary structural causes of distress unique to this sector: 5.1 Polymer and Aluminum Price Volatility: Unhedged exposure to raw material price fluctuations (specifically low-density polyethylene and pharmaceutical-grade aluminum foil) that compress gross margins below 22%. Facilities where historical gross margins have dropped by more than 400 basis points over a rolling 24-month period shall be declined outright. 5.2 Regulatory Compliance and Contamination Failures: Loss of ISO 15378 certification (Primary packaging materials for medicinal products) or failure of Good Manufacturing Practice (GMP) audits by major pharmaceutical clients. Any borrower experiencing a client contract termination exceeding 10% of total top-line revenue due to quality non-compliance is deemed in technical default of sector viability norms.

6.0 ACCEPTABLE COLLATERAL TYPES Collateral valuation must apply the following mandated advance rates against forced liquidation value (FLV): 6.1 Machinery and Equipment: Dedicated pharmaceutical blister-forming lines, rotogravure printing presses, and slitter-rewind machines. Maximum advance rate: 55% of appraised FLV, backed by an independent valuation report not older than 180 days. 6.2 Commercial Real Estate: Factory premises and associated warehousing zoned for industrial manufacturing. Maximum advance rate: 70% of market value, subject to a first-ranking legal mortgage. 6.3 Book Debts / Receivables: Trade receivables from tier-1 and tier-2 pharmaceutical manufacturers only. Maximum advance rate: 75% of eligible receivables under 90 days. Unbilled revenues and advances to suppliers are strictly ineligible.

7.0 PORTFOLIO CONCENTRATION LIMITS 7.1 Book Exposure Cap: Total aggregate credit exposure to the Pharma Packaging sector shall not exceed 8 percent of the total Ashva Capital loan book. 7.2 Current Utilization: As of audit cycle Q3, current portfolio exposure stands at 6.4 percent of the loan book, leaving a residual sector headroom of 1.6 percent. Underwriters must verify current sector exposure via the automated credit risk dashboard prior to issuing any Sanction Letter. Any application that would breach the 8 percent cap requires unanimous written approval from Chief Credit Officer Sarah Lin and Chief Executive Officer David Thorne.

8.0 FACILITY PARAMETERS AND TENOR LIMITS 8.1 Maximum Tenor: The maximum allowable repayment tenor for term loans extended to this sector is 60 months (inclusive of any initial principal moratorium, which shall not exceed 6 months). Working capital demand loans and revolving credit facilities are subject to annual review and mandatory renewal windows. 8.2 Exception Protocol: Any waiver requests concerning the 1.30x DSCR floor, the 60-month maximum tenor, or the 60-day working capital baseline must be submitted via Form CP-902 to the Underwriting Exception Committee. No single underwriter possesses delegated authority to override sector-specific quantitative thresholds.

End of Policy Sub-Section 14.4. Issued under authority of the Office of the Chief Credit Officer.